embarking on quantitative easing (QE)—large-scale asset purchases to flood the system with liquidity with the aim of repairing broken financial markets and stimulating their economies.

An interesting question was whether we, in the Reserve Bank, too were required to resort to unconventional measures. True, our policy rate, at 3.25 per cent, the lowest we had reached in the crisis, was still way above zero, but given our inflation rate, this was virtually the zero lower bound for us with not much room for further cuts. However, given the stress, and even more so a perception of stress, in segments of the financial markets, we too instituted our own version of unconventional measures. We opened a rupee–dollar swap facility for Indian banks to help them meet any shortfall in foreign funding requirement; we expanded the lendable resources available to apex financial institutors like the Small Industries Development Bank of India (SIDBI), the Export–Import Bank of India (Exim) and the National Housing Bank (NHB) so as to expand the flow of credit to productive sectors. We established dedicated lines of credit for augmenting the liquidity of NBFCs and mutual funds to provide them the cash they needed to pay off their investors.

We didn’t exactly throw the rulebook out the window, but had to be quite inventive in invoking little-used provisions to stitch up bespoke solutions.

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As the global markets remained on the brink all through the last quarter of 2008, there would be constant news from all around the world of banks failing, and pictures in the media of long lines of people outside banks waiting to empty out their savings and investments for fear that their bank was going bust. That nervousness would occasionally have a knock-on impact on India with ominous stories appearing in our media about a run on the branches of some banks in some city or some large NBFC collapsing. In the event, and to our great relief, these turned out to be false alarms.

Compounding our anxiety in those dreary months were the dastardly terrorist attacks in Mumbai on 26 November 2008. Mumbai shut down, but